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Time Value of Money in Finance

INTRODUCTION

This learning module applies time value of money principles in valuing financial assets. The first lesson focuses on solving for the present value of expected future cash flows associated with bonds and stocks. In the second lesson, the focus shifts to solving for implied bond and stock returns given current prices. This includes solving for and interpreting implied growth rates associated with given stock prices. The final lesson introduces cash flow additivity, an important principle which ensures that financial asset prices do not allow investors to earn risk-free profits, illustrated with several examples. The material covered in this learning module provides an important foundation for candidates in understanding how financial assets are priced in markets.

Learning Module Overview

- The price of a bond is the sum of the present values of the bond's promised coupon payments and its par value. For discount bonds, the price reflects only the present value of the bond's par value.
- The value of a stock should reflect the sum of the present values of the stock's expected future dividends in perpetuity.
- Stock valuation models are classified by the expected growth pattern assumed for future dividends: (1) no growth, (2) constant growth, or (3) changing dividend growth.
- If a bond's price is known, the bond's implied return can be computed using the bond's price and its promised future cash flows.
- A stock's required return can be estimated given the stock's current price and assumptions about its expected future dividends and growth rates.
- A stock's implied dividend growth rate can be estimated given the stock's current price and assumptions about its expected future dividends and required return.
- If valuing two (or more) cash flow streams, the cash flow additivity principle allows for the cash flow streams to be compared (as long as the cash flows occur at the same point in time).
- Application of cash flow additivity allows for confirmation that asset prices are the same for economically equivalent assets (even if the assets have differing cash flow streams).
- Several real-world applications of cash flow additivity are used to illustrate no-arbitrage pricing.

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